

INDUSTRIAL COURT OF QUEENSLAND

CITATION: *Simon Blackwood (Workers' Compensation Regulator) v Mahaffey* [2016] ICQ 010

PARTIES: **SIMON BLACKWOOD (WORKERS' COMENSATION REGULATOR)**
(appellant)
v
SAMANTHA MAHAFFEY
(respondent)

FILE NO/S: C/2015/30

PROCEEDING: Appeal

DELIVERED ON: 7 April 2016

HEARING DATE: 24 September 2015

MEMBER: Martin J, President

ORDER/S: **Appeal dismissed.**

CATCHWORDS: WORKERS' COMPENSATION – PROCEEDINGS TO OBTAIN COMPENSATION – DETERMINATION OF CLAIMS – APPEALS, JUDICIAL REVIEW AND STATED CASES – GENERALLY – where the respondent claimed compensation for psychological injuries said to have occurred as a result of certain stressors including, among other things, ongoing bullying, intimidation and harassment by her employer, and not being provided with reasonable management action to ensure she could appropriately deal with hostile telephone calls and attendances from customers and creditors – where the Commission found that the employer had engaged in ongoing bullying, intimidation and harassment of the appellant as she described, that this was not reasonable management action taken in a reasonable way for the purposes of s 32(5) of the *Workers' Compensation Act* 2003 (the Act), and that this was “the major significant factor” in her injury for the purposes of s 32(1) of the Act – where the Commission also found that the injury, to the extent it was caused by the hostile phone calls, arose in the course of reasonable management action for the purposes of s 32(5) of the Act – whether the Commission erred in proceeding on the basis that although a particular stressor is a cause of a psychiatric or psychological disorder and arises out of, or in the course of, reasonable management action reasonably taken, the psychiatric or psychological disorder is nevertheless not excluded from the definition of “injury” in s 32(1) if it is also the result of other stressors

Workers' Compensation and Rehabilitation Act 2003, s 32(1), s 32(5)

CASES:

Bird v the Commonwealth (1988) 165 CLR 1, applied
Comcare v PVYW (2013) 250 CLR 246, cited
Davis v Simon Blackwood (Workers' Compensation Regulator) [2014] ICQ 009, cited
Hewitt v Benale Pty Ltd [2002] WASCA 163, (2002) 27 WAR 91, cited
IW v City of Perth (1997) 197 CLR 1, cited
Khoury v Government Insurance Office (NSW) (1984) 165 CLR 622, cited
Parker v Q-COMP (2007) 185 QGIG 269, cited
Q-COMP AND Malcolm Hochen (C/2009/47) – Decision <<http://www.qirc.qld.gov.au>>, cited
Q-COMP v Education Queensland (McArthur's Case) (2005) 179 QGIG 491, cited
Q-COMP v Hohn (2008) 187 QGIG 139, cited
Q-COMP v Rowe (2009) 191 QGIG 67, cited
Rodgers v Revenue SA [2014] SASCFC 2, (2014) 240 IR 202, cited
Simon Blackwood (Workers' Compensation Regulator) v Adams [2015] ICQ 001, cited
Simon Blackwood (Workers' Compensation Regulator) v Mahaffey [2015] QIRC 116, cited
Vesna Misevski v Q-COMP (C/2009/29) – Decision <<http://www.qirc.qld.gov.au>>, cited
Victims Compensation Fund v Brown (2003) 201 ALR 260, cited

APPEARANCES:

S Gray directly instructed for the appellant
M Horvath instructed by Quinn & Scattini for the respondent

- [1] This appeal raises, again, the proper application of s 32(1) and s 32(5) of the *Workers' Compensation and Rehabilitation Act* (the Act). At the relevant time, s 32 took the following form:¹

“32 Meaning of injury

- (1) An ***injury*** is personal injury arising out of, or in the course of, employment if the employment is a significant contributing factor to the injury.
- (2) However, employment need not be a significant contributing factor to the injury if section 34(2) or 35(2) applies.
- (3) ***Injury*** includes the following—

¹ See the Act current at 14 August 2012.

- (a) a disease contracted in the course of employment, whether at or away from the place of employment, if the employment is a significant contributing factor to the disease;
 - (b) an aggravation of the following, if the aggravation arises out of, or in the course of, employment and the employment is a significant contributing factor to the aggravation—
 - (i) a personal injury;
 - (ii) a disease;
 - (iii) a medical condition if the condition becomes a personal injury or disease because of the aggravation;
 - (c) loss of hearing resulting in industrial deafness if the employment is a significant contributing factor to causing the loss of hearing;
 - (d) death from injury arising out of, or in the course of, employment if the employment is a significant contributing factor to causing the injury;
 - (e) death from a disease mentioned in paragraph (a), if the employment is a significant contributing factor to the disease;
 - (f) death from an aggravation mentioned in paragraph (b), if the employment is a significant contributing factor to the aggravation.
- (4) For subsection (3)(b), to remove any doubt, it is declared that an aggravation mentioned in the provision is an injury only to the extent of the effects of the aggravation.
- (5) Despite subsections (1) and (3), ***injury*** does not include a psychiatric or psychological disorder arising out of, or in the course of, any of the following circumstances—
- (a) reasonable management action taken in a reasonable way by the employer in connection with the worker's employment;
 - (b) the worker's expectation or perception of reasonable management action being taken against the worker;
 - (c) action by the Authority or an insurer in connection with the worker's application for compensation.

Examples of actions that may be reasonable management actions taken in a reasonable way—

- action taken to transfer, demote, discipline, redeploy, retrench or dismiss the worker
- a decision not to award or provide promotion, reclassification or transfer of, or leave of absence or benefit in connection with, the worker's employment."

The decision appealed from

- [2] The respondent (Ms Mahaffey) was employed by Mt Cotton Constructions for about six months in 2012. Her claim that she had developed severe psychological injuries as a result of that employment was accepted by WorkCover but rejected by the Regulator.
- [3] Pursuant to the usual direction, the following Statement of Stressors was provided by Ms Mahaffey:

No	Event / Short Description
1	Ongoing intimidation, bullying and/or harassment directed at or towards the appellant by Chris Scroope (Managing Director) thereby creating a hostile work environment that was threatening, intimidating and/or anxiety provoking.
2	The appellant was subjected to and/or exposed to ongoing complaints by distressed co-workers in relation to the behaviour of Mr Scroope without adequate instruction and/or training in relation to the task of counselling distressed co-workers. Consequently, the appellant has been exposed to further actions of Mr Scroope which are described as hostile, threatening, intimidating, bullying and harassing by nature and generally create a hostile working environment.
3	Failing to ensure that the appellant was able to be relieved of her work duties to take regular breaks, including but not limited to morning tea, lunch break and/or afternoon and regular restroom breaks.
4	Failing to ensure that the appellant was provided appropriate reasonable management action in order to appropriately and adequately deal with and manage hostile and abusive telephone calls and attendances by unsatisfied customers or creditors.

- [4] On the hearing of the appeal in the Commission² it was not disputed that:
- (a) Ms Mahaffey was a worker,
 - (b) She had suffered a personal injury, namely, a psychiatric or psychological disorder,

² [2015] QIRC 116.

- (c) There was sufficient evidence to support a finding that the injury was one which arose out of, or in the course of, Ms Mahaffey's employment and that her employment was a significant contributing factor.
- [5] The expert psychiatric evidence was to the effect that the cause of the disorder was a combination of:
- (a) The bullying, intimidatory and aggressive behaviour of the managing director (Mr Scroope),
 - (b) The stress caused by dealing with hostile telephone calls from her employer's creditors, and
 - (c) The perceived lack of support to help her deal with those calls.
- [6] The Deputy President correctly identified the issue for him to decide as being "whether the injury arose out of, or in the course of, management action which was both reasonable and taken in a reasonable way in connection with the appellant's employment, thereby removing it from the definition of 'injury' for the purposes of the [Act]."³
- [7] The Deputy President found that Mr Scroope's behaviour had been as Ms Mahaffey described it and held that it was "the major significant factor" in her injury.

Grounds of appeal

- [8] The grounds of appeal are as follows:
- (a) having determined that Ms Mahaffey's injury was not an "injury" as defined by the Act; because it arose in the course of reasonable management action in connection with Ms Mahaffey's employment so far as it related to "the hostile phone calls", the learned Deputy President erred by finding that Ms Mahaffey's workers' compensation claim should be accepted;
 - (b) the learned Deputy President erred in his interpretation and determination of those matters relating to Ms Mahaffey's nominated "stressor number 2";
 - (c) having found that Ms Mahaffey most likely had not proved the facts and matters particularised as "stressor number 3", his Honour erred by failing to determine that those matters relating to stressor number 3 were reasonable management action, taken in a reasonable way, in connection with Ms Mahaffey's employment; and
 - (d) in finding that the management action was not reasonable management action, taken in a reasonable way, in connection with Ms Mahaffey's

³ *Simon Blackwood (Workers' Compensation Regulator) v Mahaffey* [2015] QIRC 116 at [5].

employment; the learned Deputy President erred by enquiring whether “unreasonable management action” was the major significant factor to the development of Ms Mahaffey’s psychiatric disorder.

- [9] In his written submissions, Mr Gray identified what he described as the “critical errors” in the decision which require intervention in this appeal. They are:
- (a) having found that Ms Mahaffey’s injury was excluded by the reasonable management action provisions of the Act, in so far as it related to one stressor, the Deputy President erred by finding that Ms Mahaffey’s injury could be accepted because of a “dominant” stressor;
 - (b) the Deputy President misinterpreted the basis of Ms Mahaffey’s nominated stressor number 2; and
 - (c) having observed that Ms Mahaffey most likely had not proved the matters described within stressor 3, the Deputy President failed to determine that stressor 3 was reasonable management action, taken in a reasonable way, in connection with Ms Mahaffey’s employment.

The psychiatric evidence

- [10] Before turning to a consideration of the grounds of appeal, it will assist if the expert evidence is set out. Dr Chau provided a psychiatric report which was not as clear as it might have been. Such a report should, at a minimum, discuss, and offer an opinion on:
- (a) the subject’s psychiatric condition,
 - (b) what the subject told the psychiatrist about the employment, and
 - (c) the causal relationship (if any) between the employment and the condition.
- [11] In the process of doing that, the psychiatrist should specifically consider the stressors nominated by the subject and express a view, on the assumption that they will be established, as to any causal relationship.
- [12] In this case, the psychiatric report is not expressed in a helpful way. It did not give any clear opinion on the part the stressors played. But that was remedied, to an extent, by the oral evidence given. It was more relevant to the issues to be decided by the Commission.
- [13] In examination in chief the following evidence was given:

“Doctor, what was the conclusion you reached with Ms Mahaffey whether she has a psychiatric condition or not? ---I believe that she has a psychiatric condition

being the [indistinct] disorder with mixed anxiety, depressed mood, and an aggravation of social phobia.

And did you consider the cause of that condition? --- Yes. I have.

And what was your conclusion about the cause of her condition? --- I think it would be consistent with having been caused by what she is reporting to be harassment at work by her employer.”⁴

[14] In cross-examination the doctor gave the following evidence:

“... Now, as I understand the opinion that you’ve expressed, or the summary and conclusions, appears at page 18 of your report? --- Yes.

And what you say there is that she’s developed – or you have diagnosed [indistinct] disorder with mixed anxiety and depressed mood? --- That’s right.

And you say that that’s as a result of feeling harassed by her employer at work in Mount Cotton Constructions? --- That’s right.

But in addition to that, a contributing factor to the development of her injury is what you there say:

In addition to this she believed she did not believe she received adequate support or training during her course of employment.

? --- That’s right.

So that was another thing that contributed to the development of her injury? --- That’s right.

And as you understand on the top of that page the statement of stressors, which are one, two, three, four, all of those matters combined to cause Ms Mahaffey’s injury? --- That’s right.

...

And if we look on the top of page 3 what she told you what she found stressful was receiving abusive telephone calls from the clients, but importantly, the fact that she believed she had no support from other staff? --- Uh-huh.

And so when you expressed your opinion you understood that she’s dealing with all these by herself? --- Yes. That’s right.

⁴ T 1-79.

And that her employer had actually put in no steps at all to help her deal with those phone calls? --- That's right.

...

Because there's a number of factors that all add towards causing the injury? --- Uh-huh.

...

And it's the statement of stressor is, one, two, three, four, all of these have a role to play in the development of Ms Mahaffey's injury? --- Yes.

...

Well, would you agree what obviously in respect to the development of Ms Mahaffey's injury having to deal with these phone calls was something that was very significant in the development of her injury? --- I wouldn't be able to comment on that. Look I have – I didn't actually question her about, you know, which one developed first in terms of the stress. When she was talking to me that certainly was part of the stress, I couldn't say whether or not that was the start of the stress. Where she – she particularly did mention the harassment.

Yes? --- Harassment being that she was quite scared of Scroope.

...

So given that she has that feeling about the phone calls, that's got a very significant contribution towards her injury? --- Yes. Sure.”⁵

[15] The following evidence came from re-examination:

“Doctor, just about that issue of the various contributing factor, you didn't turn your mind to teasing those out or separating how relevant each one of those was? --- No. I mean, I did ask her was there anything in particular, and she said that it was the whole situation of the harassment, which I had the impression was a very significant factor, which is also wise she was more sensitive to situations of scrutiny, which is very common in people with social phobia type of symptoms, when they are put under scrutiny and feel harassed. They're going to be even more sensitive, so on page 6 [indistinct] paragraph, she avoided being in situations whereby she could feel socially scrutinised, and she did mention that it was taking these abusive calls and not getting enough support and not getting the breaks as well. It was a combination of all factors that – especially the harassment. She was – she seemed to be emphasising throughout the interview.

⁵ T 1-80-82.

...

In terms of the psychiatric condition she has and the extent of it, how does that compare to her level stressors that she described to you? --- **Well, the only stressor that she told me about was the work stress, and I think that given her personality type and as well as, you know, by looking at the previous comments [indistinct] looking at the statements from other work colleagues, I think that given the degree of verbal aggression or slamming doors, things like that, and the uncertainty about the work stability, I think that that would be consistent with the severity of symptoms that she developed.”**⁶

The first ground

[16] This concerns Stressor 4.

[17] The finding which the appellant says supports this ground is as follows:

“[29] Management action need not be perfect or carried out "without blemish", so long as it is "reasonable in all the circumstances of the case." It was not feasible to entirely relieve the appellant from answering phone calls as this was integral to her role in the business. The management action taken by Mr Cooper to address the appellant's complaints was reasonable in the circumstances. In my view, it cannot be said that the injury, to the extent caused by the hostile phone calls, arose out of management action. The injury arose out of dealing with the phone calls independently of management action. However, I am satisfied that **the injury, to the extent it was caused by the hostile phone calls, arose in the course of reasonable management action**, being the steps taken by Mr Cooper in a reasonable way to address the issue. Therefore **it is not an "injury" as defined by the Act, as it is removed from that definition by s 32(5).**” (emphasis added, citations omitted)

[18] The appellant argues that, having found that the injury was “excluded” because the management action was reasonable etc., it was an error to find that Ms Mahaffey’s claim could be accepted because there was other action which was not covered by s 32(5).

[19] This argument raises issues with respect to the proper construction of s 32 and the use of a Statement of Stressors in a proceeding which I will deal with below. This paragraph of his reasons, though, needs to be read in the context of the whole decision. It should be read as a conclusion that, if the “phone call issue” was all that Ms Mahaffey relied upon, then her claim would be excluded by the operation of s 32(5).

The second ground

[20] In his reasons, the Deputy President considered Stressors 1 and 2 together. In dealing with them the Deputy President said:

⁶ T 1-83.

“[32] It seems to me that a manager's interaction with staff, at least to the extent of giving them directions, making requests of them, and so on, comfortably falls within the concept of management action. A manager's language, tone of voice and demeanour are relevant to determining whether management action was taken in a reasonable way.

[33] However, yelling at, name calling and belittling staff in this context could never be said to be reasonable management action. As I have said, Mr Scroopes acted in an unreasonable manner towards, and in front of, the appellant on a regular basis. Other staff employed by him experienced similar emotions to that of the appellant, some were teary, while others were stressed or anxious when they were dealing, or had dealt, with Mr Scroopes or when he was in the vicinity of them in the office. I accept the appellant regularly observed such behaviour and the effect it had on those subjected to it. It was also directed at her on a handful of occasions. This had a detrimental effect on her. Mr Scroopes' unacceptable behaviour and demeanour created an environment in the office that was extremely unpleasant to work within. Although the appellant was sensitive in nature, the result of working within an environment where she was experiencing and observing that kind of behaviour in my view, significantly contributed to the injury she suffered. From my observation of the appellant it seems to me that Mr Scroopes' behaviour was probably the major significant factor.

[34] It follows that the appellant's injury arose out of, or in connection with management action which was neither reasonable nor taken in a reasonable way.”
(citations omitted)

- [21] The Deputy President did not make a finding with respect to the matters referred to in the first sentence of Stressor 2, that is, that Ms Mahaffey had been subjected to “ongoing complaints by distressed co-workers” and so on. He did, though, clearly find that Stressor 1 had been made out. Both Stressor 1 and the second part of Stressor 2 refer to the creation of a hostile work environment as a result of Mr Scroope’s behaviour. Thus, Ms Mahaffey had made out the factual basis for the expert opinion so far as Mr Scroope’s behaviour was concerned.
- [22] The first part of Stressor 2 was not made out. The second part, when referring to the hostile work environment, is premised – by the use of the word “consequently” – on the occurrence of matters which were not proved. But, it does not refer to a different type of work environment. Rather, Stressors 1 and 2 should be read as alleging two types of conduct which lead to the same result. And the Deputy President’s reasons should be read as an acceptance that Ms Mahaffey had established Stressor 1, but not 2, as the cause.

The third ground

- [23] This ground refers to the following paragraph in the Deputy President’s reasons:

“[37] In the circumstances it is unnecessary to consider the remaining stressor - the alleged failure to allow her adequate rest breaks, which I doubt, in any event, is made out on the evidence.”

- [24] The Deputy President did not make any finding about Stressor 3. As he said: “it is unnecessary to consider the remaining stressor”. That is a consequence of his earlier finding about Stressor 1.
- [25] It does not follow that, because he expressed some doubt about whether Stressor 3 could have been made out, he had formed a considered opinion that, on the balance of probabilities, it could not have been made out. It was no more than a passing comment.
- [26] In *Misevski v Q-COMP*⁷ Hall P was faced with a case in which there had been allegations made about conduct which allegations “were found to be without substance”. He said:
- “[30] ... One consequence of course is that those transactions cannot have contributed to the development of her psychological condition. A transaction which did not occur cannot have contributed to the development of anything. Whilst s. 32(5)(b) of the Act refers to ‘perception’ it refers to perception of action actually taken.”
- [27] A similar situation arises here. The Deputy President did not accept that Ms Mahaffey’s version should be accepted. It follows that the actions which she asserted constituted a stressor were found not to have existed. She did not assert that the actions which were found to have been taken contributed to her condition. Therefore, as it was not said by her that her “injury” arose out of those actions, s 32(5) does not apply. Similarly, as the psychiatrist’s opinion was based on an unaccepted set of assertions, there has been no causal link established.

The fourth ground

- [28] This ground argues that the Deputy President erred when considering whether management action was reasonable management action etc. by asking whether “unreasonable management action” was the major significant factor in the development of Ms Mahaffey’s disorder. It is further argued that the Deputy President erred by searching for a “dominant factor” and that he should not have assigned weight to respective management action stressors.
- [29] The Deputy President did not reason in that way. At [33] he said:

“However, **yelling at, name calling and belittling staff in this context could never be said to be reasonable management action**. As I have said, Mr Scoopes **acted in an unreasonable manner** towards, and in front of, the appellant on a regular basis. Other staff employed by him experienced similar emotions to that of the appellant, some were teary, while others were stressed or

⁷ *Vesna Misevski v Q-COMP* (C/2009/29) – Decision <<http://www.qirc.qld.gov.au>>.

anxious when they were dealing, or had dealt, with Mr Scroopes or when he was in the vicinity of them in the office. I accept the appellant regularly observed such behaviour and the effect it had on those subjected to it. It was also directed at her on a handful of occasions. This had a detrimental effect on her. Mr Scroopes' unacceptable behaviour and demeanour created an environment in the office that was extremely unpleasant to work within. Although the appellant was sensitive in nature, the result of working within an environment where she was experiencing and observing that kind of behaviour in my view, significantly contributed to the injury she suffered. **From my observation of the appellant it seems to me that Mr Scroopes' behaviour was probably the major significant factor.**" (emphasis added)

- [30] That analysis does not demonstrate any basis for the ground of appeal. The reference to "unreasonable" (which follows the statement about yelling etc. never being able to be described as reasonable management action) describes Mr Scroope's manner not management action. And the reference to "major significant factor" does not equate with a search for a "dominant" factor.
- [31] When the Deputy President said (in [36]) that it was necessary "in cases such as this, to assign weight to the various factors which go to the creation of a psychiatric disorder" he was not assigning weight to "respective management action stressors", he was going through the process of weighing up all the relevant factors.

What does s 32 require?

- [32] This section has been the subject of consideration on many occasions. In this case, there was conduct (the harassment) which was a cause of the disorder and which did not come within s 32(5) and there was conduct (the telephone answering issue) which was a cause of the disorder and which did come within s 32(5). Thus, the following question arises:

If a particular stressor is held:

- (a) to have been a cause of a psychiatric or psychological disorder, and
- (b) to have arisen out of, or in the course of, reasonable management action reasonably taken, then

is the psychiatric or psychological disorder excluded from the definition of "injury" in s 32(1) no matter what else may have caused the disorder?

- [33] The appellant argues that the answer to that question must be "yes".
- [34] Before dealing with that question, two matters must first be dealt with:
- (a) The use of a Statement of Stressors, and

- (b) The proper construction of beneficial legislation.

Statement of Stressors

- [35] The requirement for a worker to produce a Statement of Stressors does not arise from the Act or any Regulation. The requirement comes from the standard direction given in these matters. The purpose of this statement is, at least, twofold. First, it identifies for the respondent those matters which the appellant will be contending were the cause of the appellant's disorder. Secondly, it serves to confine the issues which must be considered on the appeal. Where such a direction has been given, then an appellant may not depart from the Statement of Stressors without leave.
- [36] The difficulty which arises is caused by attempting to apply the use of the Statement in conjunction with the requirements of s 32 of the Act. The Act only requires the demonstration of an "injury" as defined. It does not speak of "stressors".
- [37] Section 32 (1) is concerned with consideration of an injury which arises out of, or in the course of, employment. In other words, it covers the whole gamut of the employment relationship. It does not confine its operation to particular aspects of the employment, rather, it emphasises that all of the employment is to be considered because an "injury" will only come within the definition "if the employment is a significant contributing factor to the injury".
- [38] A distinction can then be drawn with the provisions of s 32(5). Putting to one side s 32(5)(c), that section is concerned with "reasonable management action" which is actually taken or a worker's expectation or perception of such action. In other words, it is concerned only with a "slice" of the employment.
- [39] The use of a Statement of Stressors is to assist in the determination of a worker's entitlements. It must be used as an aid and not as a means of overriding the intention of the Act.
- [40] The question which arises in this case, and which has been set out above, could, if answered in the way proposed by the appellant, lead to circumstances where a worker who nominated two stressors would be denied compensation if one of those stressors was reasonable management action etc., even if the unchallenged expert evidence was that its contribution to the disorder was minimal. Similarly, the appellant's answer would also deny a worker compensation if a disorder was the result of ten stressors, each of equal importance, but where one fell within s 32(5).

Beneficial legislation

- [41] In order to determine if the Act should have that result, I turn to examine the nature of the Act. It is properly described as "beneficial legislation". In *Bird v the Commonwealth*⁸ Deane and Gaudron JJ (although in the minority) summarised the principle to be applied in a way which has been followed⁹ many times:

⁸ (1988) 165 CLR 1.

“... It is well to remember that employee’s compensation legislation such as the Act and regulations, is remedial in its character “and, like all such Acts, should be constructed beneficially”: *Bist v London & South Western Railway Co.* The “established principle” was correctly identified by Fullagar J in the course of his dissenting judgement in *Wilson v Wilson’s Tile Works Pty Ltd* : “**where two constructions of a Workers’ Compensation Act are possible that which is favourable to the worker should be preferred.**” If a person or a case falls within the general spirit of such remedial legislation, and there are two possible interpretations, the courts ought not to construe the Act so as to exclude that person or case Indeed, in *McDermott v Owners of SS Tintoretto*, a case in which the House of Lords read words into a provision of a Workmen’s Compensation Act in favour of the employee, Lord Shaw commented that he regarded it “to be quite unsound, and to be productive of wrong and mischief” to interpret such a remedial statute “in the spirit of meticulous literalism”. That comment of Lord Shaw was quoted with approval (“a valuable contribution”) by Isaacs J in *George Hudson Ltd v Australian Timber Workers’ Union*.¹⁰ (emphasis added, citations omitted)

- [42] The approach described above is not without constraint. The interpretation adopted “must be restrained within the confines of the actual language employed and what is fairly open on the words used” – *Khoury v Government Insurance Office (NSW)*¹¹. It was put this way by Brennan CJ and McHugh J in *IW v City of Perth*¹²:

“... beneficial and remedial legislation, like the [Equal Opportunity] Act, is to be given a liberal construction. It is to be given “a fair, large and liberal” interpretation rather than one which is “literal or technical”. Nevertheless, the task remains one of statutory construction. Although a provision of the Act must be given a liberal and beneficial construction, a court or tribunal is not at liberty to give it a construction that is unreasonable or unnatural.” (citations omitted)

- [43] It is only if more than one interpretation is available or there is uncertainty as to the meaning of the words that the beneficial interpretation approach arises – *Victims Compensation Fund Corporation v Brown*¹³.

This Court’s decisions

- [44] With that in mind, I turn to the decisions of this Court in which s 32 (or a predecessor section) has been considered.
- [45] In *Q-COMP v Education Queensland (McArthur’s Case)*¹⁴ Hall P considered the predecessor section (s 34 *WorkCover Queensland Act 1996*) and said:

⁹ For example, *Rodgers v Revenue SA* [2014] SASCFC 2, (2014) 240 IR 202; *Hewitt v Benale Pty Ltd* [2002] WASCA 163, (2002) 27 WAR 91.

¹⁰ (1988) 165 CLR 1 at 9.

¹¹ (1984) 165 CLR 622.

¹² (1997) 191 CLR 1 at 12.

¹³ (2003) 201 ALR 260 at [33] 269.

¹⁴ (2005) 179 QGIG 491.

“There is an issue as to whether *WorkCover Queensland Act 1996* (or the *Workers’ Compensation and Rehabilitation Act 2003*) is in the nature of beneficial legislation. To the extent that the statutory measures serve as gatekeepers on the route to common law damages, the statutory measures are plainly not beneficial. And in *Kelly v WorkCover Queensland* [2002] 1 Qd R 496 at 498 Atkinson J decided as much. However, I adhere to the view expressed in *State of Queensland v Q-COMP and Beverley Coyne* (2003) 172 QGIG 1447 at 1448, that in providing benefits (not otherwise available) to workers who suffer work related injuries, the statutory measures are still properly characterised as beneficial. Indeed, the statutes themselves say as much. The main objects of the *WorkCover Queensland Act 1996* are stated at Part 2, see s. 4(1). One of the objects is to provide benefits to workers who sustain injury in their employment (and for their dependents), see s. 5(1)(a). By s. 4(2) the objects are expressly made an aid to the interpretation of the Act. (The *Workers’ Compensation and Rehabilitation Act 2003* does not renumber the relevant sections). I do not however consider that characterisation of the statutes as beneficial assistance in the interpretation of s. 34(5). Section 34(5) is plainly an exclusionary provision. There is no rule that provisions by way of exception or exemption in a remedial act are to be given a liberal interpretation compare *Rose v Secretary Department of Social Security* (1990) 92 ALR 521 at 524. On the contrary, as Burchett J observed in *Commonwealth v Human Rights and Equal Opportunity Commission and Another* (1998) 152 ALR 182 at 189:

“Where remedial legislation contains exemptions designed to strike a careful and practical balance between competing community interests, a court which distorts that balance in the name of furthering the remedy risks serving a political role, and in doing so, frustrating the will of parliament.”.

If there were any doubt that s. 34(5) was about balancing of competing public interests, it is removed by the only relevant extrinsic material, viz. the Explanatory Note to the Bill which (first) introduced the subsection:

“The exclusion criteria from the definition of injury ... for psychiatric or psychological conditions have been strengthened in response to an increasing number of claims where remedial action regarding the worker’s poor performance (one example of reasonable management action) was the stimulus for the claim.

...

This clause also excludes psychiatric or psychological injuries that result from action being taken by WorkCover, or a self-insurer, in relation to the management of a worker’s compensation claim including rejection of the claim or cessation of an entitlement.”.

In my view s. 34(5) should not be read so as to maximise the remedial impact of s. 34(1) and (2).¹⁵

[46] His Honour was, with respect, correct in his remarks concerning the effects of exclusionary provisions. But the basic principle to be applied is that which is set out above. The task remains one of ordinary statutory construction – one where a beneficial

¹⁵ *Q-COMP v Education Queensland* (2005) 179 QGIG 491 at 492.

interpretation of the whole of the section or chapter will be applied should more than one interpretation be available. It is not the case that a reader advances through the Act, identifying one section (or sub-section) as beneficial while another is not. The section and its various parts must be read in context. The correct approach is to construe s 32 in the ordinary way and then to call in aid the principles concerning beneficial legislation if that becomes necessary.

[47] Later in his reasons in *McArthur's Case*, Hall P said:

“The concern of s. 34(5) is to remove certain psychiatric and psychological disorders from the statutory definition of “injury”. Where a situation arises in which s. 34(1) “ropes-in” a particular psychiatric or psychological disorder and s. 34(5) excludes the same psychiatric or psychological disorder, there is an inconsistency which because of the use of “notwithstanding” must be resolved by allowing s. 34(5) to prevail.”¹⁶

[48] That is consistent with what his Honour said in *Parker v Q-COMP*¹⁷ when referring to the scheme established by the Act:

“On its face s. 32(5), which is an exclusionary provision, is part of that scheme. Because of the use of the word "despite" at s. 32(5), where s. 32(1) "ropes in" a psychiatric or psychological condition and s. 32(5) excludes the same psychiatric or psychological condition, the inconsistency is resolved by allowing s. 32(5) to prevail, compare *Q-COMP v Education Queensland* (2005) 179 QGIG 491 at 492. It is not legitimate to distort the balancing of competing community interests which the modification of s. 32(1) by s. 32(5) is intended to achieve - and the Explanatory Note to the Bill which introduced the forerunner of s. 32(5) showing an explicit intention to balance is reproduced in *Q-COMP v Education Queensland, ibid*, at 592 - by limiting the scope of the expression "in the course of" or for that matter the expression "arising out of" in order to maximise the reach of s. 32(1).”¹⁸

[49] In *Q-COMP v Hohn*¹⁹ Hall P appears to retreat slightly from the absolute position advanced in the decisions referred to above. He said:

“... I should emphasise that **the mere occurrence of reasonable management action will not insulate a disorder from characterisation as an "injury"**. To begin with, there will be cases in which the worker will decompensate before the occurrence of the reasonable management action reasonably taken. To say of such a disorder that it arose out of or in the course of reasonable management action would be to make a finding in the teeth of the facts. Similarly, reasonable management action reasonably taken, which precedes and is discrete from the worker's decompensation may well be found not to be reasonable management action which triggers the operation of s. 32(5). Whilst everything that happens in

¹⁶ *Q-COMP v Education Queensland* (2005) 179 QGIG 491 at 492.

¹⁷ (2007) 185 QGIG 269.

¹⁸ *Parker v Q-COMP* (2007) 185 QGIG 269 at 272-3.

¹⁹ (2008) 187 QGIG 139.

an employment relation may, on one use of language, be said to arise out of creation of the relationship, it would be risible to contend that all work-related disorders are denied classification as an "injury" because the worker's original appointment involved reasonable management action reasonably taken. Indeed, even contemporaneity may not suffice to justify a conclusion that the disorder arose in the course of reasonable management action reasonably taken. Where for example, a worker suffers a schizophrenic reaction to the sight of a gruesome death of a fellow employee, the circumstance that all occurred in an authorised rest break would not attract the operation of s. 32(5).

If indeed it was the submission of Q-COMP at first instance that once an injury was in any way touched by reasonable management action reasonably taken it is not compensable, I agree with the Commissioner (paragraph 3 at p. 666) that such a submission "...overstates the effect of s. 32(5)". Indeed, in my view, the submission is inconsistent with *Delaney v Q-COMP* (2005) 178 QGIG 197. That case involved an appeal against a decision by an Acting Industrial Magistrate which teased out the transactions and events and concluded that Mr Delaney's adjustment disorder with mixed anxiety and depressed mood was attributable to a number of interactions with his superiors each of which constituted reasonable management action reasonably taken. There was a successful appeal to this Court. However, as is pointed out at [71, 015] by the learned author of Watson, *Industrial Laws of Queensland* (who appeared for Mr Delaney), Mr Delaney did not in that appeal challenge every finding that an interaction contributing (in some way) to Mr Delaney's decompensation was reasonable management action reasonably taken. One finding was allowed to remain in place on the appeal. In consequence, Mr Delaney was bound by the finding on the appeal. If the submission attributed to Q-COMP at first instance was correct, Mr Delaney's appeal should have failed. The appeal succeeded. The remaining finding of reasonable management action reasonably taken was treated by both parties as inconsequential so long as it stood alone.

Repudiation of the proposition that s. 32(5) only operates where the reasonable management action is a significant contributing factor to a worker's decompensation, does not require embrace of the proposition that other words, viz., "or partly arising out of or in the course of reasonable management action", are to be read into s. 32(5). I respectfully adopt the view of Watson, *op. cit.*, viz.:

"To read the subsection in that way would be to read into the subsection the words 'or partly arising out of or in the course of'. Implying words into legislation is not something that courts undertake lightly. See, for example, what Callinan J said in *Electrolux Home Products Pty Ltd v AWU* (2004) 221 CLR 309; 209 ALR 116; [2004] HCA 40; BC200405590 at [239].

Further, the argument runs counter to the interpretation given to similar legislation in other jurisdictions. See, for example, *Rivard v Northern Territory* (1999) 129 NTR 1; 150 FLR 33; [1999] NTSC 28; BC9901148 at [30].

It also runs contrary to logic. If there are eight stressors which gave rise to the injury and they all arise out of or in the course of employment only seven are significant contributors whereas the eighth is exceedingly minor but arises from reasonable management action taken in a reasonable way, where is the justification for denying a claimant compensation in those circumstances?"

Each of the propositions contended for by the Commissioner and the proposition attributed to Q-COMP suffer from the same vice. Additional words are read into the statute. In my view s. 32(5) should be permitted to speak for itself. Figurative language and undue conceptualism are to be deprecated. In many cases, as on the facts in *Q-COMP v Education Queensland* (2005) 179 QGIG 491 at 491 (first 3 paragraphs), the correct application of the statutory language will be pellucidly clear. Doubtless, there will be difficult cases. Doubtless, it is for that reason that Industrial Commissioners and Industrial Magistrates are entrusted with the appeals."²⁰

- [50] In *Q-COMP v Rowe*²¹ Hall P noted that he could not recall Q-COMP advancing an argument of the type advanced by the Regulator in this case. He said:

"In fairness to Q-COMP I should say that I cannot recollect an occasion on which (in this Court), Q-COMP has submitted that "... even if one stressor is caught by reasonable management action that will be sufficient to remove the psychiatric/psychological disorder from the definition of injury in s. 32(1) of the Act." Neither have I any recollection of accepting such a proposition. Indeed, such a proposition is not consistent with the decision in *Delaney v Q-COMP* (2005) 178 QGIG 197. In *Delaney v Q-COMP*, *ibid*, the claimant succeeded though the sixth stressor (not as was contended for Q-COMP in this Appeal the first stressor) was found to be but blemished management action. With respect to the Commissioner the decision in *Prizeman v Q-COMP* (2005) 180 QGIG 481, dealt with the converse proposition, *viz.*, that if after eliminating all stressors which arose out of or in the course of reasonable management action reasonably taken, a stressor or stressors remained, the claimant was entitled to succeed. **The earlier decision in *Q-COMP v Education Queensland* (2005) 179 QGIG 491 established the critical proposition that s. 32(5) of the Act is concerned with withdrawing injuries from s. 34(1) of the Act and is not concerned with nominating the "stressors" which may be taken into account. The passage from the Industrial Laws of Queensland, is by way of commentary upon the decision of this Court in *Q-COMP v Hohn* (2008) 187 QGIG 139. It is made by way of comment upon the rejection of the view that so long as a psychological/psychiatric injury is "touched" by reasonable management action reasonably taken, it will be withdrawn from the statutory definition of "injury" by the operation of s. 32(5)(a) of the Act. The passage is plainly correct. It is the effect of the decision in *Q-COMP v Hohn*, *ibid*, that a claimant may succeed though some of the operative events or stressors arise out of or occur in the course of reasonable management action taken in a reasonable way. However, "may" cannot be read as "must": nor may the**

²⁰ *Q-COMP v Hohn* (2008) 187 QGIG 139 at 144-5.

²¹ (2009) 191 QGIG 67.

passage be read as asserting that an Appeal Body is at liberty to allow a claimant to succeed where at least one stressor does not "... arise or occur in the course of reasonable management action taken in a reasonable way". In all such cases, the Appeal Tribunal will be required to embark upon the enquiry whether the psychological/psychiatric injury arose out of or in the course of reasonable management action taken in a reasonable way.”²²

[51] Consistent with his remarks in *Rowe*, Hall P said the following in *Q-COMP v Hochen*²³:

“[15] ... Section 32(5)(a) of the Act requires the insurer, Q-COMP and any appellate tribunal to enquire whether the psychological injury arose out of or in the course of reasonable management action taken in a reasonable way. **The presence of unreasonable management action with a sufficient causal connection to the injury may require that a negative answer be given to the question posed by s. 32(5)(a).**”

[52] In *Davis v Blackwood*²⁴ I said:

“[51] I agree with the reasoning of Hall P in *Q-Comp v Hohn* where he said that the mere occurrence of reasonable management action will not insulate a disorder from characterisation as an “injury”. In cases such as this the Commission will be aided by expert evidence which can assist in the assignment of weight to the various factors which go to the creation of maintenance of a psychiatric disorder. If the evidence supports a finding that the psychiatric disorder results from the employment being a significant contributing factor then, when one turns to consider s 32(5), it is important to determine to what extent, if any, there is an overlap of reasonable management action and other employment factors.”

[53] In *Blackwood v Adams*²⁵ I agreed²⁶ with what Hall P had said in *Hochen*, namely, that an enquiry as to whether or not unreasonable management action was the dominant cause of an injury was an erroneous approach.

[54] The history of the consideration given to s 32 (and its predecessor) is consistent with application of the principle cited in *Bird v The Commonwealth*, namely, “where two constructions of a *Workers’ Compensation Act* are possible that which is favourable to the worker should be preferred”. The construction favoured by this Court has been that a worker can suffer a compensable injury even if reasonable management action has had some causative effect.

[55] Where the only cause of a personal injury is reasonable management action etc. then s 32(5) will work to exclude it from the definition of “injury” in s 32(1). The difficulty, as has become painfully obvious over the years, is where a psychiatric or psychological disorder can be seen to have arisen from a mixture of actions including reasonable

²² *Q-COMP v Rowe* (2009) 191 QGIG 67 at 71-2.

²³ *Q-COMP AND Malcolm Hochen (C/2009/47) – Decision* <<http://www.qirc.qld.gov.au>>.

²⁴ [2014] ICQ 009.

²⁵ [2015] ICQ 001.

²⁶ *Simon Blackwood (Workers’ Compensation Regulator) v Adams* [2015] ICQ 001 at [23].

management action. Experience in this jurisdiction shows that it is not uncommon for psychiatric disorders to be the result of a number of factors.

- [56] There is another difficulty in the construction of s 32(5). The clause “arising out of” can be readily understood when combined with “reasonable management action” as requiring the demonstration of a causal relationship. But the phrase “in the course of” is not as easy to understand in this context. “In the course of” would, in ordinary language, be nothing more than a wordy way of saying “during”. The term has been interpreted as only requiring a temporal connection. It has caused difficulty when connected with “employment”, particularly in the so-called “interval” cases and to connect it to “reasonable management action etc.” increases the difficulty of comprehension. The High Court devoted many paragraphs to an examination of the meaning of the term in *Comcare v PVYW*²⁷ but it was concerned with an injury which occurred during an interval and, naturally, concentrated on the relationship the term had with employment. To then attempt to construe “a psychological ... disorder arising ... in the course of ... the worker’s expectation ... of reasonable management action ...” only compounds the difficulty. It might be thought that the transplantation of “arising out of, or in the course of” into s 32(5) was not the best way of expressing Parliament’s intention.
- [57] The difficulties in construing s 32(5) support the conclusion that more than one interpretation of s 32 is available and that, therefore, the beneficial interpretation approach should be applied. In the cases decided in this Court any attempt to provide some type of formula or application of dominant cause has been rejected. Section 32 must be applied in the light of the evidence accepted by the Commission. If, after considering all the relevant evidence and weighing up the factors which were accepted as having given rise to the personal injury, the Commission forms the conclusion that any of the conduct referred to in s 32(5) does not, on balance, displace the evidence in favour of the worker then a finding in the worker’s favour must follow.

Conclusion

- [58] For the reasons given above, the Deputy President did not err in his assessment of the evidence and his findings were justified by that evidence.
- [59] The appeal is dismissed.

²⁷ (2013) 250 CLR 246.